Coca-Cola Co/The Earnings Call

View on the Bloomberg Terminal

04/30/24

Guidance

- Coca-Cola updated their 2024 guidance to expect organic revenue growth of 8-9% and comparable currency-neutral earnings per share growth of 11-13%
- The company expects bottle refranchising to be a 4-5 point headwind to comparable net revenues and a 2-point headwind to comparable earnings per share
- Currency headwinds are expected to have a 4-5 point impact on comparable net revenues and 7-8 point impact on comparable earnings per share for full-year 2024
- The company maintains its expectation for comparable earnings per share growth of 4-5% versus $2.69 in 2023
- The underlying effective tax rate for 2024 is now expected to be 19%

Margin Story

- In Q1, comparable gross margin increased by approximately 130 basis points, driven by underlying expansion and bottler re-franchising benefits, partially offset by currency headwinds
- Comparable operating margin expanded by approximately 60 basis points in Q1, driven by strong top-line growth and bottler refranchising, partially offset by currency headwinds and increased marketing investments
- Bottler refranchising is expected to have a positive impact on margins going forward
- Markets experiencing intense inflation represent a small portion of volume but have an outsized impact on the P&L

AI Strategy

- AI was used in a K-Wave marketing campaign that involved K-pop groups and fan experiences
- AI is being used to generate suggested orders for retail outlets, which helps improve efficiency and allows sales personnel to focus more on account development

Material Costs

- Input costs have normalized overall, though there are still some elevated costs for juice and sugar

Inventory

- Concentrate shipment timing differences between Mexico and the Middle East affected reported volumes, but these timing differences naturally reverse between quarters
- There were some input cost pressures noted on specific commodities

Competition

- In markets like Europe, Japan, and Australia, Coca-Cola competes primarily against local currency-based competition
- The company gained market share across both at-home and away-from-home channels
- In China, they strategically deprioritized lower-value water segments to focus on sparkling beverages during Chinese New Year

Market Share

- The company gained value share in both at-home and away-from-home channels
- In North America, despite slower volume, the company continued to gain share through RGM and packaging efforts
- Strong share performance was seen in Asian markets, particularly Japan and South Korea
- In sports drinks, while BodyArmor's performance wasn't as strong as hoped, there were some positive share trends, with the Flash IV product gaining double-digit share

ESG Strategy

- There was minimal direct discussion of environmental issues in this earnings call. The only relevant mention was a brief reference to the company publishing its business and sustainability report, though no specific environmental initiatives or metrics were discussed.

Capital Allocation

- The only mention of capital allocation priorities was that Coca-Cola remains committed to investing for growth and supporting their dividend, which they have increased for 62 consecutive years
- The company did note they have balance sheet capacity for upcoming payments related to an IRS tax case and a fairlife payment in 2025

M&A

- The company recorded a $765 million charge related to the remeasurement of contingent consideration for the fairlife acquisition, with the final payment due in 2025. The increased payment reflects fairlife's strong performance.
- A $760 million non-cash impairment charge was taken related to BodyArmor, reflecting revised projections and a higher discount rate since acquisition, though management remains confident in their two-brand sports drink strategy.
- The company completed several bottler refranchising transactions during Q1, which contributed to margin expansion.

Labor

- There was a brief reference to wage trends in North America, with wages continuing to trend upward

Macro Environment

- Inflation is normalizing in developed markets, while several developing/emerging markets continue experiencing intense inflation and currency devaluation

- In Europe, macro trends are improving with increased consumer confidence and some markets emerging from recession
- US consumer trends:
  - Overall consumer remains healthy but with some purchasing power compression in lower income segments
  - Slight shift toward at-home consumption versus away-from-home
  - Value-seeking behavior increasing
- China shows improving retail sales but consumer confidence remains below pre-pandemic levels
- Argentina is experiencing highly inflationary conditions

Supply Chain

- The company added over 600,000 cooler doors and increased shelf space as part of their system execution efforts
- There was some mention of normalized input costs, with some elevated costs remaining for juice and sugar

Pricing

- The company saw 13% price-mix growth in Q1, with approximately 6 points driven by intense inflationary pricing in select markets to offset currency devaluation
- In North America, price-mix was 7% in Q1, with about 2 points from mix/timing and the rest from pricing. The company expects 2024 to normalize to pre-COVID pricing levels
- In Europe, pricing has normalized while managing affordability for lower-income consumers who are shifting toward value channels
- The company's updated 2024 guidance reflects higher-than-expected inflationary pricing in certain markets, though this is expected to moderate throughout the year

Product Development

- Coca-Cola launched K-Wave as part of the Coke Creations platform across five operating units, featuring collaborations with K-pop groups and AI-based fan experiences
- The company refined recipes for Fanta and Sprite across many markets to meet consumer preferences, leading to strong performance
- Minute Maid Zero Sugar launched globally, starting with North America
- In North America, the company launched Coke Spiced and introduced 12-ounce slim cans
- BodyArmor launched new products including zero Sugar and Flash IV variants
- Jack Daniels and Coca-Cola expanded to six additional European markets